

26NNCV03788 26NNCV03788

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Case Number: 26NNCV03788 Hearing Date: July 7, 2026 Dept: P

[TENTATIVE] ORDER GRANTING MOTION

FOR APPOINTMENT OF RECEIVER AND PRELIMINARY INJUNCTION IN AID OF RECEIVER

I. INTRODUCTION

On May 13, 2026, Plaintiff

Wilmington Trust, National Association, as Trustee for the benefit of the registered holders of GS Mortgage Securities Trust 2021-GSA3, Commercial Mortgage Pass-Through Certificates, Series 2021-GSA3 ("Plaintiff"), filed this action against Defendant 403 S. Raymond Avenue, LLC, a Delaware limited liability company ("Defendant"), arising from Defendant's alleged default under a commercial loan secured by real property located at 403-421 South Raymond Avenue, Pasadena, California.

On June 1, 2026, Plaintiff filed

the instant motion seeking appointment of a receiver and a preliminary injunction in aid of the receivership. In support of the motion, Plaintiff submitted the declarations of Jackson Kunasek and proposed receiver Chris Neilson. No opposition was filed.

II. LEGAL STANDARD

Receivers are agents of the court

and may be appointed only where authorized by statute. (Marsch v. Williams (1994) 23 Cal.App.4th 238, 246.) The appointment of a receiver is a drastic equitable remedy that should be exercised with caution and only in exceptional cases where no other adequate remedy exists. (City & County of San Francisco v. Daley (1993) 16 Cal.App.4th 734, 744.) The party seeking

appointment of a receiver bears the burden of establishing by a preponderance of the evidence that a receivership is necessary. (Alhambra-Shumway Mines, Inc. v. Alhambra Gold Mine Corp. (1953) 116 Cal.App.2d 869, 873.)

Code of Civil Procedure section

564, subdivision (b)(2), authorizes the appointment of a receiver in an action by a secured lender to foreclose a deed of trust or mortgage where it appears that the property is in danger of being lost, removed, or materially injured, or that the conditions of the deed of trust or mortgage have not been performed and the property is probably insufficient to discharge the secured debt.

III. ANALYSIS

Plaintiff

moves for an order appointing a receiver for the subject Property and issuing a preliminary injunction in aid of the receivership.

Receiver

The evidence establishes that

Defendant executed a \$12,850,000 commercial loan in favor of the original lender, evidenced by a Loan Agreement and Promissory Note and secured by a Deed of Trust and Assignment of Leases and Rents encumbering the subject Property.

(Kunasek Decl., ¶¶ 2-6.) Plaintiff further submits evidence demonstrating that it is the current holder of the Loan, beneficiary under the Deed of Trust, and assignee of the Loan Documents through a series of recorded assignments. (Kunasek Decl., ¶¶ 7-10; Exhs. F-N.)

Plaintiff also submits evidence

establishing that Events of Default occurred under the Loan Documents.

Specifically, Kunasek declares that Defendant failed to make the required monthly loan payments beginning March 6, 2026. (Kunasek Decl., ¶ 11.) The recorded Notice of Default likewise states that Defendant failed to make the installment of interest, tax and insurance escrows, and reserves due on March 6, 2026, and all subsequent installments. (Kunasek Decl., ¶ 16 & Exh. P.) Kunasek further declares that Defendant failed to maintain the required insurance on the Property. (Kunasek Decl., ¶ 12 & Exh. Q.) Plaintiff also submits declaration testimony that Defendant continues to collect rents into a clearing account rather than the contractually required cash management account. (Kunasek Decl., ¶ 11.)

Plaintiff further relies on Section

7.1(g) of the Deed of Trust, which provides that upon the occurrence of an Event of Default, Plaintiff is entitled to seek appointment of a receiver without notice and without regard to the adequacy of the security or Defendant's solvency. (Complaint., Exh. D.) Plaintiff argues that this contractual remedy should be enforced absent extraordinary circumstances.

Plaintiff also submits the

declaration of proposed receiver Chris Neilson, who declares that he has extensive experience serving as a court-appointed receiver in commercial real estate matters, is willing to serve in this matter, and will obtain any bond required by the Court. (Neilson Decl., ¶¶ 1-7.)

No

opposition has been filed.

The Court agrees. Plaintiff has

submitted evidence establishing Events of Default under the Loan Documents, and the Deed of Trust expressly authorizes Plaintiff to seek appointment of a receiver upon default. (Complaint., Exh. D.) Plaintiff has therefore established both statutory grounds under Code of Civil Procedure section 564 and a contractual basis for appointment of a receiver.

Thus, the Court GRANTS the motion

for appointment of receiver. Chris Neilson of Trigild IVL is appointed receiver pursuant to the terms of the Court's order and shall post a receiver's bond in the amount of \$165,000 before assuming his duties.

Injunction

Here, Plaintiff requests an

injunction prohibiting Defendant from interfering with the receiver's operation and management of the Property.

Because the Court finds appointment

of a receiver is warranted, the requested preliminary injunction is likewise appropriate to preserve the status quo and ensure the receiver is able to carry out the duties authorized by the Court. The injunction is limited to prohibiting Defendant from interfering with the receiver's possession,

management, operation, and control of the Property pending resolution of this action.

Undertaking requirement

Code of Civil Procedure section

529, subdivision (a), provides that upon granting a preliminary injunction, "the court or judge must require an undertaking on the part of the applicant" to secure any damages sustained by the enjoined party if it is ultimately determined that the applicant was not entitled to the injunction. (Code Civ. Proc., § 529, subd. (a).) The statutory exceptions to the undertaking requirement set forth in subdivision (b) do not include receivership proceedings. (Code Civ. Proc., § 529, subd. (b).)

Here, Plaintiff requests that the

Court waive the undertaking requirement, arguing that Defendant is unlikely to suffer interim harm because the requested injunction merely requires Defendant to cooperate with the receiver and refrain from interfering with the receiver's duties. (Motion, p. 12.) The Court declines to waive the undertaking requirement. Code of Civil Procedure section 529 mandates that an undertaking be posted unless a statutory exception applies, and no such exception is applicable here. Plaintiff shall therefore post an undertaking pursuant to Code of Civil Procedure section 529. Given that the requested injunction is limited in scope and ancillary to the appointment of a receiver, and that Defendant has neither opposed the motion, nor presented any evidence of potential damages that would result if the injunction were later determined to have been wrongfully issued, the Court finds that a undertaking of \$20,000 is sufficient to secure any reasonably foreseeable damages, including attorney's fees and incidental costs.

IV. ORDER

The Court GRANTS

Plaintiffs motion for appointment of receiver and preliminary injunction in aid of receiver.

The appointed receiver shall post a

\$165,000 receivers' bond within 20 days of this order. Plaintiff shall post an undertaking of \$20,00 within 20 days' notice of this order.

Plaintiff is to give notice.

Dated: July 7, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT